Human Resource Management - Set 1

50 MCQs - 1 mark each - answers and explanations are at the end

Choose the single best option. Do not look at the last pages until you finish.

1. In the paired comparison method, each employee is
A. rated by the customers who deal with the employee on the job
B. compared with every other employee one characteristic at a time
C. compared only with the best performing employee in the group
D. ranked from highest to lowest by the chairman of the board

2. A rater who gives higher scores than employees actually deserve shows
A. recency
B. horns effect
C. strictness bias
D. leniency bias

3. Which of the following is a MODERN method of performance appraisal?
A. Essay evaluation
B. Paired comparison
C. Confidential reports
D. 360-degree appraisal

4. Training and career development fall under which operative function?
A. Procurement
B. Compensation
C. Separation
D. Development

5. Succession planning is
A. identifying, evaluating, developing and tracking high-potential employees for future leadership roles
B. negotiating wage agreements with trade unions on behalf of employees
C. appraising all employees every year on a common rating scale
D. the process of reducing the workforce when business conditions become poor

6. A wage board brings together
A. only foreign experts who advise on the wages in the industry
B. only the employers of the industry who fix the wages alone
C. only the government officials who decide the wages alone
D. government, employers and trade unions (and independent experts)

7. 'HRM is not merely an extension of Personnel Management but a paradigm shift.' This statement means HRM
A. is exactly the same as personnel management with only a change of name
B. has no link with the business strategy of the organisation
C. represents a fundamentally different approach to managing people
D. deals only with payroll and maintenance of attendance records of workers

8. Post-employment benefit plans where an enterprise pays fixed contributions into a separate fund are
A. short-term benefits
B. termination benefits
C. defined benefit plans
D. defined contribution plans

9. Kirkpatrick's four levels in order are
A. Plan, Do, Check, Act
B. Results, Behaviour, Learning, Reaction
C. Reaction, Learning, Behaviour, Results
D. Context, Input, Process, Product

10. The mnemonic OFSP for HRM objectives stands for
A. Organisational, Functional, Social, Personal
B. Operative, Financial, Strategic, Planning
C. Objective, Function, System, Policy
D. Organising, Forecasting, Staffing, Paying

11. Comparing demand with supply to find shortage or surplus is the step of
A. action plan
B. identifying gaps
C. analysing objectives
D. supply forecasting

12. Workers staying at their workplace and not working is a
A. hunger strike
B. sit-down strike
C. economic strike
D. sympathetic strike

13. A statement of tasks, duties and responsibilities of a job is called
A. job evaluation
B. job specification
C. job rotation
D. job description

14. Which is part of the scope of industrial relations?
A. Collective bargaining and workers' participation in management
B. Choice of the sources of finance for new projects
C. Preparation of the annual balance sheet and tax returns
D. Product pricing and advertising decisions of the firm

15. In the welfare stage (pre-1920s) the focus was on
A. HR analytics and artificial intelligence
B. employee well-being, safety and basic amenities in factories
C. strategic partnership with top management
D. learning organisations

16. Which is an INTERNAL factor affecting HRP?
A. Turnover and absenteeism
B. Government labour legislation
C. Demographic trends
D. Technological change in the economy

17. Succession planning triggered only when a key employee leaves is
A. departure-defined succession planning
B. strategic leadership development
C. emergency succession
D. career pathing

18. An importance of industrial relations is to
A. reduce the number of trade unions operating in the industry
B. avoid disputes and create harmonious relationships so productivity increases
C. increase the working hours of employees without extra payment
D. raise product prices so that the firm earns higher profits every year

19. 'Internal recruitment boosts morale, but external recruitment brings innovation.' Which is a merit of internal recruitment?
A. Widens the talent pool
B. Boosts employee morale and motivation
C. Increases recruitment cost
D. Brings completely new ideas

20. A wage survey is conducted to

A. find out how many employees are absent from work every month
B. study the working conditions in the factory canteen
C. decide the number of vacancies to be filled in the next year
D. compare the organisation's pay with pay in the labour market

21. Recruitment through employee referral is a source that
A. uses the firm's own employees to recommend candidates
B. private employment agencies that supply candidates to firms
C. campus placement at colleges and universities
D. advertisements published in newspapers and professional magazines

22. Recruitment is called a positive process because it
A. widens the applicant pool
B. reduces the pool
C. rejects unsuitable candidates
D. ends the hiring process

23. The step of collective bargaining that follows 'Agreement' is
A. negotiation
B. preparation
C. ratification
D. identify issues

24. In arbitration, the dispute is referred to
A. the Board of Directors, who gives a final decision
B. a neutral arbitrator whose award is binding
C. the trade union's executive committee, which decides on the issue
D. the Registrar of Trade Unions, who fixes the settlement terms

25. In MBO the manager and employee
A. rate the personality traits of the employees only each year
B. compare the employees with each other only and rank them
C. agree on clear objectives and the employee is assessed on results
D. avoid setting any goals and wait for the end of the year

26. Which of the following is NOT a method of forecasting HR supply?
A. Markov analysis
B. Delphi technique
C. Skill inventory
D. Replacement chart

27. Improper matching of worker with the job is a grievance arising from
A. management policy
B. working conditions
C. government policy
D. personal reasons

28. Workers' compensation first started in
A. India in 1950
B. Japan in 1900
C. Germany in the 1800s
D. USA in 2000

29. Learning while working under a supervisor or mentor at the workplace is known as
A. Lecture
B. Role playing in a training hall
C. coaching
D. Sensitivity training

30. Key jobs in the factor comparison method are typically
A. 15 to 20 jobs representing wage levels across the organisation
B. only the top five executive positions of the firm

C. only the lowest paid jobs in each department
D. every job in the organisation without any exception

31. BARS combines the rating scale with the
A. paired comparison
B. forced distribution
C. critical incident concept
D. essay method

32. Recruitment and selection fall under which operative function of HRM?
A. Maintenance
B. Integration
C. Compensation
D. Procurement

33. The concept of management by objectives grew from the work of
A. Maslow and Herzberg
B. Taylor and Fayol
C. Drucker and McGregor
D. Kotler and Porter

34. Performance appraisal is
A. a method of forecasting the manpower requirements of the firm
B. a process of evaluating an employee's performance of a job in terms of its requirements
C. a process of fixing the price of a job in comparison with other jobs
D. a procedure for recruiting and selecting candidates for a vacancy

35. Which of the following is generally the first stage in the selection process?
A. Medical examination
B. Application screening
C. Final job offer
D. Induction

36. Qualifications, experience and abilities required from a job holder appear in the
A. organisation chart
B. job description
C. wage board report
D. job specification

37. A panel interview is conducted by
A. an auditor
B. a single interviewer by phone only
C. the candidate's friends
D. a group of interviewers

38. Which career stage involves mentoring and preparation for retirement?
A. Mid-career
B. Exploration
C. Establishment
D. Late career

39. Placing all employees at the average of the scale to avoid hard conversations is
A. central tendency
B. leniency
C. halo effect
D. horns effect

40. 'The individual chooses the direction; the organisation creates the opportunities' describes
A. wage determination and the work of the wage boards in India
B. grievance handling and the redressal of employee complaints
C. job evaluation and the ranking of the jobs in a pay structure
D. individual vs organisational career management

41. Comparing actual performance with the set standards comes
A. before establishing standards
B. after measuring actual performance
C. before communicating standards
D. after corrective action

42. The minimum wage is the wage that
A. is equal to the average wage paid in the industry in the region
B. meets the basic needs of a worker and his family at the lowest acceptable level
C. is fixed by each employer according to the profit of the firm
D. gives a worker a comfortable life with savings, insurance and recreation

43. Procurement, development, compensation, integration and maintenance are the
A. managerial functions of HRM
B. operative functions of HRM
C. strategic planning tools
D. legal remedies

44. The relative pay differential among various jobs within an organisation is the
A. pay structure
B. pay form
C. basis for pay increase
D. pay level

45. Using statistical relationships between business variables and staffing is called
A. managerial judgement
B. work-study technique
C. regression analysis
D. Delphi technique

46. In the deck's point-factor example the HR Manager scores
A. 100 points against 75 for the HR Executive
B. 50 points against 75 points for the HR Executive in the example
C. 75 points against 100 points for the HR Executive in the example
D. 10 points against 5 points for the HR Executive in the example

47. Career planning is the process by which an individual
A. identifies career goals and the path to achieve them
B. makes the annual budget and the cash plan of the company
C. audits the accounts and the financial records of the company
D. pays the income tax and the other taxes of the employees

48. Over-ambition and excessive self-esteem cause grievances from
A. working conditions
B. personal reasons
C. management policy
D. wage boards

49. A living wage is one that
A. depends entirely on the profits earned by the company in the year
B. provides a decent standard of living including education, health and some savings
C. covers only the bare food needs of the worker and not his family
D. is fixed at the lowest rate that the law permits the employer to pay

50. The mnemonic PODC refers to
A. managerial functions: Plan, Organise, Direct, Control
B. operative functions of HRM: staffing, training, pay, motivation and maintenance
C. training evaluation levels: reaction, learning, behaviour and results of training
D. recruitment sources: promotion, transfer, job posting, referral and re-employment

Answer key - Set 1

1. **B**	11. **B**	21. **A**	31. **C**	41. **B**
2. **D**	12. **B**	22. **A**	32. **D**	42. **B**
3. **D**	13. **D**	23. **C**	33. **C**	43. **B**
4. **D**	14. **A**	24. **B**	34. **B**	44. **A**
5. **A**	15. **B**	25. **C**	35. **B**	45. **C**
6. **D**	16. **A**	26. **B**	36. **D**	46. **A**
7. **C**	17. **A**	27. **B**	37. **D**	47. **A**
8. **D**	18. **B**	28. **C**	38. **D**	48. **B**
9. **C**	19. **B**	29. **C**	39. **A**	49. **B**
10. **A**	20. **D**	30. **A**	40. **D**	50. **A**

Answers with explanations

1. In the paired comparison method, each employee is

Answer: B. compared with every other employee one characteristic at a time

Why correct: Each employee is compared one by one with every other on each trait.

A is wrong: Customers do not rate in this method.

C is wrong: Comparison is with everyone, not only the best.

D is wrong: Chairman ranking is not the method.

2. A rater who gives higher scores than employees actually deserve shows

Answer: D. leniency bias

Why correct: Leniency bias is rating employees higher than they deserve.

A is wrong: Recency means judging only on recent events.

B is wrong: Horns effect is one weak trait lowering everything.

C is wrong: Strictness bias is rating lower than deserved.

3. Which of the following is a MODERN method of performance appraisal?

Answer: D. 360-degree appraisal

Why correct: 360-degree appraisal is a modern method.

A is wrong: Essay evaluation is traditional.

B is wrong: Paired comparison is traditional.

C is wrong: Confidential reports are traditional.

4. Training and career development fall under which operative function?

Answer: D. Development

Why correct: Training and career development raise knowledge, skills and attitudes - the development function.

A is wrong: Procurement is getting people into the firm.

B is wrong: Compensation is pay and benefits.

C is wrong: Separation is leaving the firm (resignation, retirement).

5. Succession planning is

Answer: A. identifying, evaluating, developing and tracking high-potential employees for future leadership roles

Why correct: Succession planning finds, develops and tracks high-potential people for future leadership roles.

B is wrong: Wage negotiation is collective bargaining.

C is wrong: Annual appraisal is performance appraisal.

D is wrong: Reducing workforce is downsizing.

6. A wage board brings together

Answer: D. government, employers and trade unions (and independent experts)

Why correct: It is a tripartite body.

A is wrong: Experts are independent, not foreign.

B is wrong: It is not employers alone.

C is wrong: It is not government alone.

7. 'HRM is not merely an extension of Personnel Management but a paradigm shift.' This statement means HRM

Answer: C. represents a fundamentally different approach to managing people

Why correct: 'Paradigm shift' means a change in the whole way of thinking - HRM treats people as valuable resources tied to strategy, not as a cost to be administered.

A is wrong: If HRM were only a renamed personnel management there would be no 'shift'.

B is wrong: HRM is explicitly linked with business strategy, so this is wrong.

D is wrong: Payroll and attendance are old personnel tasks, which HRM goes far beyond.

8. Post-employment benefit plans where an enterprise pays fixed contributions into a separate fund are

Answer: D. defined contribution plans

Why correct: A defined contribution plan fixes the contribution, not the final benefit.

A is wrong: Short-term benefits are due within a year.

B is wrong: Termination benefits are for early exit.

C is wrong: Defined benefit fixes the benefit amount.

9. Kirkpatrick's four levels in order are

Answer: C. Reaction, Learning, Behaviour, Results

Why correct: R-L-B-R.

A is wrong: That is PDCA.

B is wrong: That is the reverse order.

D is wrong: That is the CIPP model.

10. The mnemonic OFSP for HRM objectives stands for

Answer: A. Organisational, Functional, Social, Personal

Why correct: OFSP lists the four objective groups.

B is wrong: These are not HRM objectives.

C is wrong: Not the OFSP words.

D is wrong: These are not HRM objectives.

11. Comparing demand with supply to find shortage or surplus is the step of

Answer: B. identifying gaps

Why correct: Gap identification follows both forecasts.

A is wrong: Action plan responds to the gap.

C is wrong: Analysing objectives is the first step.

D is wrong: Supply forecasting estimates availability.

12. Workers staying at their workplace and not working is a

Answer: B. sit-down strike

Why correct: Sit-down strike: workers stay at their place but do not work.

A is wrong: Hunger strike is fasting.

C is wrong: Economic strike is for pay.

D is wrong: Sympathetic strike supports others.

13. A statement of tasks, duties and responsibilities of a job is called

Answer: D. job description

Why correct: The job description states tasks, duties and responsibilities of the job.

A is wrong: Job evaluation fixes the worth of the job.

B is wrong: Job specification states the person's qualifications.

C is wrong: Job rotation moves employees between jobs.

14. Which is part of the scope of industrial relations?

Answer: A. Collective bargaining and workers' participation in management

Why correct: Collective bargaining and workers' participation are core IR.

B is wrong: Finance sources are finance.

C is wrong: Balance sheets are accounts.

D is wrong: Pricing and advertising are marketing.

15. In the welfare stage (pre-1920s) the focus was on

Answer: B. employee well-being, safety and basic amenities in factories

Why correct: Early employers mainly looked after workers' conditions.

A is wrong: Analytics belongs to the digital stage.

C is wrong: Strategy belongs to later stages.

D is wrong: Learning organisations belong to HRM stage.

16. Which is an INTERNAL factor affecting HRP?

Answer: A. Turnover and absenteeism

Why correct: Turnover and absenteeism arise inside the firm.

B is wrong: Laws are external.

C is wrong: Demographics are external.

D is wrong: Economy-wide technology change is external.

17. Succession planning triggered only when a key employee leaves is

Answer: A. departure-defined succession planning

Why correct: Departure-defined planning starts only when someone actually leaves.

B is wrong: Strategic leadership development is planned long before.

C is wrong: Emergency succession covers sudden short-term gaps.

D is wrong: Career pathing is planned movement, not triggered by departure.

18. An importance of industrial relations is to

Answer: B. avoid disputes and create harmonious relationships so productivity increases

Why correct: Good IR reduces disputes and raises productivity.

A is wrong: Reducing unions is not the aim.

C is wrong: Unpaid extra hours are unfair.

D is wrong: Price rises are not IR aims.

19. 'Internal recruitment boosts morale, but external recruitment brings innovation.' Which is a merit of internal recruitment?

Answer: B. Boosts employee morale and motivation

Why correct: Promoting from within motivates staff and boosts morale.

A is wrong: A wider talent pool comes from external recruitment.

C is wrong: Internal recruitment is cheaper, not costlier.

D is wrong: New ideas come from external recruitment.

20. A wage survey is conducted to

Answer: D. compare the organisation's pay with pay in the labour market

Why correct: A wage survey compares the firm's pay with the market.

A is wrong: Absenteeism is an attendance matter.

B is wrong: Canteen study is welfare.

C is wrong: Vacancies are planning.

21. Recruitment through employee referral is a source that

Answer: A. uses the firm's own employees to recommend candidates

Why correct: Employee referral uses current employees to recommend candidates.

B is wrong: Agencies are consultancy sources.

C is wrong: Campus placement is a campus source.

D is wrong: Newspaper ads are advertising.

22. Recruitment is called a positive process because it

Answer: A. widens the applicant pool

Why correct: It attracts more applicants.

B is wrong: Selection reduces the pool.

C is wrong: That makes selection negative.

D is wrong: Recruitment is only the start.

23. The step of collective bargaining that follows 'Agreement' is

Answer: C. ratification

Why correct: Ratification comes after the agreement.

A is wrong: Negotiation comes before agreement.

B is wrong: Preparation is the first step.

D is wrong: Issues are identified early.

24. In arbitration, the dispute is referred to

Answer: B. a neutral arbitrator whose award is binding

Why correct: In arbitration a neutral person gives a binding award.

A is wrong: The Board is a party.

C is wrong: The union committee is a party, not neutral.

D is wrong: The Registrar of Unions registers unions.

25. In MBO the manager and employee

Answer: C. agree on clear objectives and the employee is assessed on results

Why correct: MBO is results-based.

A is wrong: That is trait rating.

B is wrong: That is ranking.

D is wrong: MBO needs goals.

26. Which of the following is NOT a method of forecasting HR supply?

Answer: B. Delphi technique

Why correct: Delphi forecasts demand; Markov, skill inventory and replacement chart forecast supply.

A is wrong: Markov analysis is a supply method.

C is wrong: Skill inventory is a supply method.

D is wrong: Replacement chart is a supply method.

27. Improper matching of worker with the job is a grievance arising from

Answer: B. working conditions

Why correct: Wrong job-worker matching is a working-condition cause.

A is wrong: Management policy covers wages, leave, seniority.

C is wrong: Government policy is not the usual source.

D is wrong: Personal reasons are ambition and self-esteem.

28. Workers' compensation first started in

Answer: C. Germany in the 1800s

Why correct: Workers' compensation began in Germany in the 1800s.

A is wrong: India 1950 is wrong.

B is wrong: Japan 1900 is wrong.

D is wrong: USA 2000 is wrong.

29. Learning while working under a supervisor or mentor at the workplace is known as

Answer: C. coaching

Why correct: Coaching is learning at work from a supervisor or mentor.

A is wrong: A lecture is off-the-job.

B is wrong: Role playing is off-the-job.

D is wrong: Sensitivity training is off-the-job.

30. Key jobs in the factor comparison method are typically

Answer: A. 15 to 20 jobs representing wage levels across the organisation

Why correct: Factor comparison uses about 15-20 key jobs covering all wage levels.

B is wrong: Top executives alone are not representative.

C is wrong: Lowest paid jobs alone are not representative.

D is wrong: Not every job is a key job.

31. BARS combines the rating scale with the

Answer: C. critical incident concept

Why correct: BARS (Behaviourally Anchored Rating Scale) joins a numeric scale with critical incidents - real behaviour examples placed at each scale point.

A is wrong: Paired comparison compares two employees at a time.

B is wrong: Forced distribution fits people into fixed percentage groups; it has no behaviour anchors.

D is wrong: The essay method is free-written description without a scale.

32. Recruitment and selection fall under which operative function of HRM?

Answer: D. Procurement

Why correct: Recruitment and selection obtain people for the firm - that is the procurement function.

A is wrong: Maintenance keeps employees healthy and satisfied after they join.

B is wrong: Integration is about uniting employee and organisational interests.

C is wrong: Compensation is about pay and benefits.

33. The concept of management by objectives grew from the work of

Answer: C. Drucker and McGregor

Why correct: MBO grew from Drucker and McGregor.

A is wrong: Maslow and Herzberg are motivation theorists.

B is wrong: Taylor and Fayol are scientific/classical management.

D is wrong: Kotler and Porter are marketing/strategy.

34. Performance appraisal is

Answer: B. a process of evaluating an employee's performance of a job in terms of its requirements

Why correct: Performance appraisal evaluates an employee's performance against job requirements.

A is wrong: Forecasting manpower is HR planning.

C is wrong: Pricing a job relative to others is job evaluation.

D is wrong: Recruiting is not appraisal.

35. Which of the following is generally the first stage in the selection process?

Answer: B. Application screening

Why correct: Selection starts by screening applications to remove unsuitable ones.

A is wrong: Medical examination comes after tests and interviews.

C is wrong: Final job offer is the last stage.

D is wrong: Induction comes after selection.

36. Qualifications, experience and abilities required from a job holder appear in the

Answer: D. job specification

Why correct: JS lists human requirements.

A is wrong: An organisation chart shows structure.

B is wrong: JD lists duties.

C is wrong: A wage board report deals with pay.

37. A panel interview is conducted by

Answer: D. a group of interviewers

Why correct: A panel interview is done by a group of interviewers together.

A is wrong: An auditor does not interview.

B is wrong: A single interviewer by phone is not a panel.

C is wrong: Friends do not interview.

38. Which career stage involves mentoring and preparation for retirement?

Answer: D. Late career

Why correct: Late career prepares for retirement.

A is wrong: Mid-career is consolidation.

B is wrong: Exploration is first.

C is wrong: Establishment is early growth.

39. Placing all employees at the average of the scale to avoid hard conversations is

Answer: A. central tendency

Why correct: Central tendency puts everyone around the middle to avoid extremes and tough talks.

B is wrong: Leniency gives high scores, not average ones.

C is wrong: Halo effect lifts all scores because of one good trait.

D is wrong: Horns effect lowers all scores because of one bad trait.

40. 'The individual chooses the direction; the organisation creates the opportunities' describes

Answer: D. individual vs organisational career management

Why correct: It explains both sides of career management.

A is wrong: Not wage determination.

B is wrong: Not grievance handling.

C is wrong: Not job evaluation.

41. Comparing actual performance with the set standards comes

Answer: B. after measuring actual performance

Why correct: You must measure performance before comparing it with standards.

A is wrong: Standards come first.

C is wrong: Communication is before measuring.

D is wrong: Corrective action is after comparing.

42. The minimum wage is the wage that

Answer: B. meets the basic needs of a worker and his family at the lowest acceptable level

Why correct: The minimum wage covers the basic needs of the worker and family at the lowest acceptable level.

A is wrong: The industry average is a fair wage idea.

C is wrong: Each employer fixing it is not a statutory minimum.

D is wrong: A comfortable life is a living wage.

43. Procurement, development, compensation, integration and maintenance are the

Answer: B. operative functions of HRM

Why correct: Procurement, development, compensation, integration and maintenance are the specific HR activities, called operative functions.

A is wrong: Managerial functions are planning, organising, directing, controlling.

C is wrong: These are HR activities, not planning tools.

D is wrong: These are not legal remedies; they are management activities.

44. The relative pay differential among various jobs within an organisation is the

Answer: A. pay structure

Why correct: Pay structure is the relative pay among jobs inside the firm.

B is wrong: Pay form is the mix of pay types.

C is wrong: Increase basis is a different idea.

D is wrong: Pay level compares with the market.

45. Using statistical relationships between business variables and staffing is called

Answer: C. regression analysis

Why correct: Regression is statistical.

A is wrong: Judgement is experience-based.

B is wrong: Work-study measures tasks.

D is wrong: Delphi is expert opinion.

46. In the deck's point-factor example the HR Manager scores

Answer: A. 100 points against 75 for the HR Executive

Why correct: The manager's job scores higher.

B is wrong: The manager scores more.

C is wrong: That reverses the scores.

D is wrong: Not the example.

47. Career planning is the process by which an individual

Answer: A. identifies career goals and the path to achieve them

Why correct: This is career planning.

B is wrong: Not career planning.

C is wrong: Not career planning.

D is wrong: Not career planning.

48. Over-ambition and excessive self-esteem cause grievances from

Answer: B. personal reasons

Why correct: Over-ambition and excessive self-esteem come from the employee's attitude, i.e. personal reasons.

A is wrong: Working conditions are job-related.

C is wrong: Management policy is organisational.

D is wrong: Wage boards are wage bodies.

49. A living wage is one that

Answer: B. provides a decent standard of living including education, health and some savings

Why correct: A living wage gives a decent standard of living including education, health and savings.

A is wrong: Profit-linked pay is not a living wage.

C is wrong: Bare food only is below even minimum wage.

D is wrong: The lowest legal rate is the minimum wage.

50. The mnemonic PODC refers to

Answer: A. managerial functions: Plan, Organise, Direct, Control

Why correct: PODC = managerial functions.

B is wrong: Operative functions are staffing, training, pay etc.

C is wrong: Training evaluation is R-L-B-R.

D is wrong: Recruitment sources have a different mnemonic.